

Prepared by Dil-E-Nadan

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Eco 402 Final Term Quizez

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Consumers know the prices available.

Consumers can anticipate price changes.

2. Incremental cost is the same concept as _____ cost.

Average

Marginal

Fixed

Variable

3. A production function assumes a given:

Technology.

Set of input prices.

Ratio of input prices.

Amount of output.

4. Assume that beer is an inferior good. If the price of beer falls, then the substitution effect results in the person buying _____ of the good and the income effect results in the person buying _____ of the good.

More, more

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5. Producer surplus for the whole market can be thought of as:

Total profit.

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Variable operating profit plus factor rents.

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- 6. Baba Burgers has discovered there are economies of scope available to the restaurant. Which is most likely to be a response to this discovery?**

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- 7. The endpoints (horizontal and vertical intercepts) of the budget line:**

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The opportunity costs of the factors of production that the firm owns.

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The sunk costs incurred by the firm.

10. Plastic and steel are substitutes in the production of body panels for certain automobiles. If the price of plastic increases, with other things remaining the same, we would expect:

The price of steel to fall.

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The demand curve for plastic to shift to the left.

The demand curve for steel to shift to the left.

Quiz 2

11. Cost-output elasticity can be written and calculated as:

MC/AC.

AC/MC

(AC)(MC)

(AC)²(MC)

12. Fixed costs are fixed with respect to changes in:

Output.

Capital expenditure.

Wages.

Time.

13. The presence of a learning curve may induce a decision maker in a startup firm to choose:

Low levels of output to exploit economies of scale.

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Low levels of output to shift the average cost curve down over time.

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14. Which of the following is true regarding the relationship between returns to scale and economies of scope? <http://www.vustudents.net>

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Economies of scale and economies of scope must occur together.

A firm experiencing increasing returns to scale must also experience economies of scope.

There is no definite relationship between returns to scale and economies of scope.

15. Salman would prefer a certain income of \$20,000 to a gamble with a 0.5 probability of \$10,000 and a 0.5 probability of \$30,000. Based on this information:

We can infer that Salman is risk neutral.

We can infer that Salman is risk averse.

We can infer that Salman is risk loving.

We cannot infer Salman 's risk preferences.

16. When the average product is decreasing, marginal product:

Equals average product.

Is increasing.

Exceeds average product.

Is less than average product.

17. Government intervention can increase total welfare when:

There are costs or benefits that are external to the market.

Consumers do not have perfect information about product quality.

A high price makes the product unaffordable for most consumers.

There are costs or benefits that are external to the market and consumers do not have perfect information about product quality.

18. If a competitive firm's marginal cost curve is U-shaped then:

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Its short run supply curve is U-shaped too.

Its short run supply curve is the downward-sloping portion of the marginal cost curve.

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19. Economies of scope refer to:

Changes in technology.

The very long run.

Multiproduct firms.

Single product firms that utilize multiple plants.

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The extent to which any firm can influence the price of the product.

The size of the firms in the market.

The annual sales made by the largest firms in the market.

The presence of government intervention.

21. Indifference curves that are convex to the origin reflect:

An increasing marginal rate of substitution.

A decreasing marginal rate of substitution.

A constant marginal rate of substitution.

A marginal rate of substitution that first decreases, then increases.

22. The endpoints (horizontal and vertical intercepts) of the budget line:

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Measure the rate at which a consumer is willing to trade one good for another.

Represent the quantity of each good that could be purchased if all of the budget were allocated to that good.

23. Consider the following statements when answering this question: I. "In the long run equilibrium of a perfectly competitive market, a firm's producer surplus equals the

sum of the economic rents earned on its inputs to production." II. "In the long run equilibrium of a perfectly competitive market, the amount of economic profit earned can differ across firms, but not the amount of producer surplus."

I and II are true.

I is true, and II is false.

I is false, and II is true.

I and II are false.

24. Suppose that the prices of good A and good B were to suddenly double. If good A is plotted along the horizontal axis:

The budget line will become steeper.

The budget line will become flatter.

The slope of the budget line will not change.

The slope of the budget line will change, but in an indeterminate way.

3

25. A country's government would like to raise the price of one its most important agricultural crops, coffee beans. Which of the following government programs will result in higher prices for coffee beans?

Select correct option:

An import quota on coffee beans.

An acreage limitation program which provides coffee bean farmers financial incentives to leave some of their acreage idle.

An import tariff on coffee beans.

All of the given options.

26. Which of the following is NOT a generally accepted measure of the riskiness of an investment? <http://www.vustudents.net>

Select correct option:

Standard deviation.

Expected value.

Variance.

None of the given options.

27. Which of the following is a positive statement?

Select correct option:

When the price of a good goes up, consumers buy less of it.

When the price of a good goes up, firms produce more of it.

When the Federal government sells bonds, interest rates rise and private investment is reduced.

All of the given options.

28. Rabia knows average total cost and average variable cost for a given level of output.

Which of the following costs can she not determine given this information?

Select correct option:

Average fixed cost

Fixed cost

Variable cost

Rabia can determine all of the above costs given the information provided.

29. Which of the following is NOT true about price floors?

Select correct option:

Consumer surplus is always lower than it would be in the competitive equilibrium.

Producer surplus could be lower, higher, or the same as it would be in competitive equilibrium.

Producer surplus could be negative as the result of a price floor.

Producers will often respond to a price floor by cutting production to the point at which price equals marginal cost.

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30. A production function in which the inputs are perfectly substitutable would have isoquants that are:

Select correct option:

Convex to the origin.

L shaped.

Linear.

Concave to the origin.

31. For an inferior good:

Select correct option:

The price elasticity of demand is negative; the income elasticity of demand is negative.

The price elasticity of demand is positive; the income elasticity of demand is negative.

The price elasticity of demand is negative; the income elasticity of demand is positive.

The price elasticity of demand is positive; the income elasticity of demand is positive.

32. The short run is:

Select correct option:

Less than a year.

Three years.

However long it takes to produce the planned output.

A time period in which at least one input is fixed.

33. Any combination of products inside the production possibility frontier is:

Select correct option:

Allocatively inefficient

Consumer inefficient

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Productively inefficient
None of the given option.

34. Which of the following is NOT an assumption regarding people's preferences in the theory of consumer behavior?

Select correct option:

Preferences are complete.
Preferences are transitive.
Consumers prefer more of a good to less.
None of the given options.

35. In 1970s the federal government imposed price controls on natural gas. Which of the following statements is true?

Select correct option:

These price controls caused a chronic excess supply of natural gas.
Consumers gained from the price controls, because consumer surplus was larger than it would have been under free market equilibrium.
Producers gained from the price controls because producer surplus was larger than it would have been under free market equilibrium.
This episode of price controls was unusual, because it resulted in no deadweight loss to society.

36. A production function defines the output that can be produced:

Select correct option:

At the lowest cost, given the inputs available.
With the fewest amount of inputs.
If the firm is technically efficient.
In a given time period if no additional inputs are hired.

37. A firm never operates:

Select correct option:

- At the minimum of its ATC curve.
- At the minimum of its AVC curve.
- On the downward-sloping portion of its ATC curve.
- On the downward-sloping portion of its AVC curve.

38. Two firms, each producing different goods, can achieve a greater output than one firm producing both goods with the same inputs. We can conclude that the production process involves:

Select correct option:

- Diseconomies of scope.
- Economies of scale.
- Decreasing returns to scale.
- Increasing returns to scale.

39. In long-run competitive equilibrium, a firm that owns factors of production will have an:

Select correct option:

- Economic profit = \$0 and accounting profit > \$0.
- Economic and accounting profit = \$0.
- Economic and accounting profit > \$0.
- Economic and accounting profit can take any value.

40. When a product transformation curve is bowed outward, there are _____ in production.

Economies of scope

Economies of scale

Diseconomies of scope

Diseconomies of scale

41. The marginal rate of technical substitution is equal to the:

Slope of the total product curve.

Change in output minus the change in labor.

Change in output divided by the change in labor.

Ratio of the marginal products of the inputs.

42. Consider two goods X and Y available for consumption. Assume that the price of X changes while the price of Y remains fixed. For these two goods, the price-consumption curve illustrates the:

Relationship between the price of X and consumption of Y.

Utility-maximizing combinations of X and Y for each price of X.

Relationship between the price of Y and the consumption of X.

Utility-maximizing combinations of X and Y for each quantity of X.

43. Assume that two investment opportunities have identical expected values of \$100,000. Investment A has a variance of 25,000, while investment B's variance is 10,000. We would expect most investors (who dislike risk) to prefer investment opportunity:

A because it has less risk.

A because it provides higher potential earnings.

B because it has less risk.

B because of its higher potential earnings.

44. The law of diminishing returns refers to diminishing:

: Total returns.

Marginal returns.

Average returns.

All of the given option

45. : If the isoquants are straight lines, then:

: Inputs have fixed costs at all use rates.

The marginal rate of technical substitution of inputs is constant.

Only one combination of inputs is possible.

There are constant returns to scale.

H99s1: 4th

46. : The total cost (TC) of producing computer software diskettes (Q) is given as: $TC = 200 + 5Q$. What is the variable cost?

: 200

5Q

5

$5 + (200/Q)$

47. The demand curve facing a perfectly competitive firm is:

The same as the market demand curve.

Downward-sloping and less flat than the market demand curve.

Perfectly horizontal.

Perfectly vertical.

48. : The cost-output elasticity is used to measure:

Economies of scope.

Economies of scale.

The curvature in the fixed cost curve.

Steepness of the production function.

:

49. The budget line in portfolio analysis shows that:

The expected return on a portfolio increases as the standard deviation of that return increases.

The expected return on a portfolio increases as the standard deviation of that return decreases.

The expected return on a portfolio is constant.

The standard deviation of a portfolio is constant.

50. A Rolling Stones song goes: “You can’t always get what you want.” This echoes an important theme from microeconomics. Which of the following statements is the best example of this theme?

Consumers must make the best purchasing decisions they can, given their limited incomes.
Workers do not have as much leisure as they would like, given their wages and working conditions.

Workers in planned economies, such as North Korea, do not have much choice over jobs.

Firms in market economies have limited financial resources.

51. Compared to a tariff, an import quota, which restricts imports to the same amount as the tariff, will leave the country as a whole: <http://www.vustudents.net>

Worse off than a comparable tariff.

Not as bad off as a comparable tariff.

About the same as a comparable tariff.

Any of the above can be true.

52. Any combination of products inside the production possibility frontier is:

Allocatively inefficient

Consumer inefficient

Productively inefficient

None of the given option.

53. : In the long run, which of the following is considered a variable cost?

Expenditures for wages.

Expenditures for raw materials.

Expenditures for capital machinery and equipment.

All of the given options.

54. Two firms, each producing different goods, can achieve a greater output than one firm producing both goods with the same inputs. We can conclude that the production process involves:

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